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Toasted, not burnt: France's bond sell-off and the road to the 2027 election

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In Summary

- **France is the hardest hit in the global bond sell-off, mostly due to its own fiscal and political weakness.** Since the Hormuz crisis began, 10-year OAT yields have risen 150bps (US +115bps, Italy +132bps, Germany +83bps) as the prolonged energy crisis exacerbates fiscal concerns in a politically fragile environment. France' fiscal deficits have remained above 5% of GDP for four consecutive years. Debt has risen from 98% of GDP in 2019 to over 119% in Q2 2026, and the 2026 deficit is now expected at -5.4% against a -5% initial target.
- **A "short Europe" trade amplifies the move and spreads it to the rest of the Eurozone while the ECB looks the other way.** Foreign banks and non-banks hold 36% of OATs and Japanese investors about 5% (EUR137bn), exposing France to the repatriation trade and price-sensitive investors. Speculative shorts, hedge-fund asset-swap unwinds and thin liquidity feed a negative loop, with market depth more than 50% below normal and the OAT spread over Bunds peaking at 150bps. The speed reflects a positioning shock, not a pure repricing of fundamentals. Long-term investors are sitting out ahead of the elections, given budget uncertainty and the sensitivity of OATs to political fragility. Spanish and Italian spreads are about 20bps wider, bank CDS are widening and French and Italian three-month bills are converging toward the ECB's marginal lending rate. Fragmentation is far from 2012 or 2020 levels, but the ingredients are in place. The ECB has not yet intervened and may limit itself to verbal intervention, while continuing QT and pushing through two more hikes (+50bps).
- **Baseline: A watered-down budget, but the fiscal arithmetic stays heavy for France.** We expect GDP growth of +0.5% in 2026 and +0.9% in 2027. The Assembly votes on the budget on 20 and 27 October, and we expect a budget by year-end through ordinances or Article 49.3, keeping the 2027 deficit at -5.3% of GDP. This should contain fiscal slippage and stabilize financial conditions, with OAT spreads in the 120-150bps range. Higher rates (+100bps) will feed through over the next three to six months, adding EUR25bn (0.8% of GDP) in gross interest expenses for households, non-financial firms and the government combined. The debt-stabilizing deficit is -2.7% of GDP, which requires savings of more than EUR80bn, plus EUR15-20bn a year to stop social and interest spending from widening the deficit. This takes credible fiscal measures (better tax mix, higher retirement age) and growth-enhancing reforms.
- **Adverse scenarios: France-centered crisis or Eurozone crisis?** The Middle East situation is far from contained; oil prices could stay above USD100/bbl for another six months, leading to a further global bond sell-off hitting France the hardest, tightening financial conditions and jeopardizing deficit reduction. Domestically, opposition parties could take down the government or slippage surprises resurface despite a passed budget, tightening conditions in the same way. In this context, GDP would stall at +0.0% in 2027 and spreads reach 150-175bps. The ECB would talk up and potentially launch repo intervention. In our view, it would take a substantial Eurozone-wide contraction (France -0.5% in 2027; Eurozone -0.2%; OAT spreads at 175-200bps) for the ECB to tweak or stop QT, launch open market and repo intervention and stabilize funding markets (as OATs and BTPs make up 50% of euro repo collateral).
- **Looking ahead, the 2027 elections are the next test, and TPI is a late and uncertain backstop.** With the presidential election on 18 April and 2 May 2027 (legislative elections likely to follow), we see four scenarios: i) a President with an absolute majority and allies, who delivers fiscal consolidation; ii) a President short of a majority who seeks alliances (our baseline, with the 2028 deficit at -4.9% and spreads above 100bps); iii) a President short of a majority without alliances and iv) a political and fiscal crisis, for instance from unfunded tax cuts or spending hikes, with spreads above 200bps and widespread contagion. Only in this last scenario would the ECB activate the Transmission Protection Instrument (TPI). The risk is a lack of political will rather than of instruments, and redenomination risk is the tail case.

France is the country most affected in the global bond sell-off

Since the start of the Hormuz crisis, yields on 10-year French government bonds (OAT) have risen by 150bps (vs 115bps for the US, 132bps for Italy and 83bps for Germany), the highest jump among developed economies.

The feedback loop between rising oil prices and interest rate expectations has met structurally vulnerable public finances whose credibility has been increasingly undermined by growing political fragility since the 2024 dissolution of the National Assembly. France's debt-to-GDP ratio has surged from 98% in 2019 to over 119% in Q2 2026, with over 121% of GDP expected in 2027 (vs 83% to 87% in the Eurozone). Meanwhile, the weakening economy (+0.5% GDP growth expected this year) is leading to a fourth consecutive year of fiscal slippage: The government now expects a deficit of -5.4% of GDP against the -5.1% targeted in the 2026 Budget. With Moody's upcoming review on 23 October, France is now at risk of losing its AA rating (currently Aa3 by Moody's vs A+ by S&P and Fitch Ratings, i.e. already one notch below); current pricing, if sustained, would even imply a BBB rating.

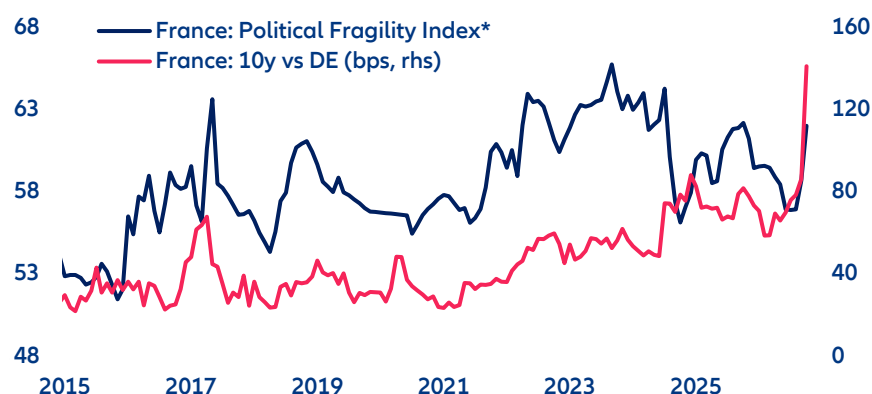
Table 1: Macroeconomic and fiscal forecasts for France in 2027

	Government	Allianz Research
Real GDP growth (%)	1.0	0.9
Inflation (CPI. %)	1.8	2.2
Public balance (% GDP)	-5.0	-5.3
Primary balance (% GDP)	-2.1	-2.5
Debt service costs (% GDP)	2.9	2.8
Public debt (% GDP)	121.7	121.8

Sources: French government, Allianz Research

France is the first victim of the Japanese repatriation trade. More than other European sovereigns, France's investor base is exposed to price-sensitive players. The most volatile group, foreign banks and non-banks, holds 36% of French government bonds. Domestic banks and non-banks, whose holdings fluctuate less, account for 32%, while non-price sensitive investors (domestic and foreign central banks) make up only 32%. Other European countries have either a stronger anchor in the domestic market (Italy with 66% vs 47% for France) or with foreign central banks (Germany with 26% vs 16% for France as Bunds as the primary FX reserve vehicle). Among foreign holders, Japanese investors play a significant role, holding around 5% of outstanding French government bonds (~EUR137bn). As interest rates rise in Japan, these positions become less attractive relative to domestic holdings. At best they are no longer rolled over, at worst they are actively liquidated. In the recent bond sell-off France became the first victim of the Japanese repatriation trade, even though it plays only a minor role compared with the US as an overweight in Japanese investors' benchmark allocations .

Figure 1: France's risk premium is very sensitive to changes in political fragility

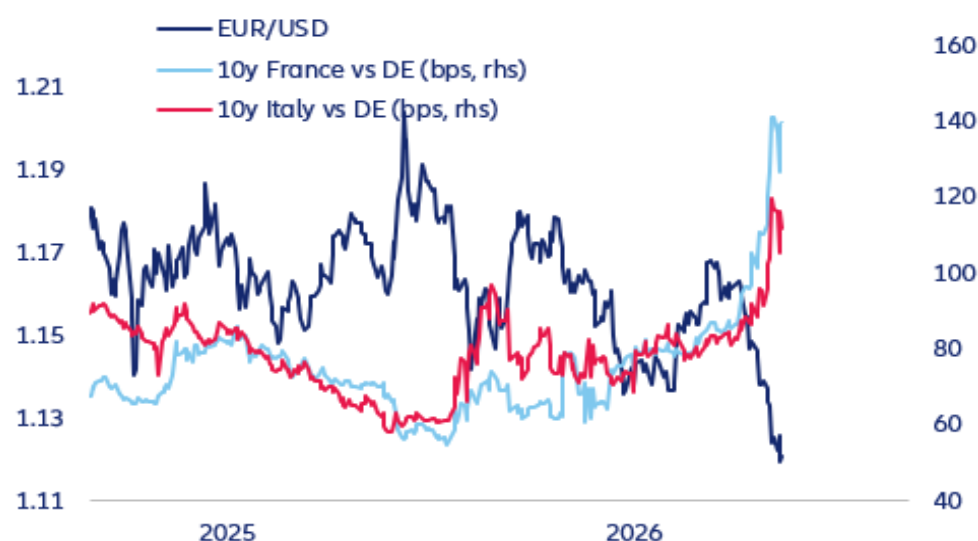


* Note: The Political Fragility Index is created by Allianz Research as a weekly, poll-based index on a 0–100 scale (higher = more fragile), built from smoothed (Kalman filtered) poll-of-polls vote shares. Find more in our publication [here](#).

Sources: LSEG Datastream, Allianz Research

Fiscal concerns, political fragility and investor base have created the vulnerability; sentiment and positioning determine the market reaction. A "short Europe" trade has built up for some time in markets and France is identified as the most vulnerable link (Figure 2). A negative feedback loop is now at work. A bearish narrative around political fragility and fiscal risk is amplified by very large speculative short positions, sales from Japanese institutional investors, hedge fund unwinding asset swap positions and a limited presence of buyers, with market depth more than 50% below normal. In such conditions, even small trades can move prices sharply. OAT yields have spiked rapidly, with the 10-year spread vs the Bund widening to a peak 150bps, rising twice as fast as during the Eurozone crisis. Realized OAT spread volatility has jumped to the 90th percentile. These market dynamics point to massive repositioning rather than a repricing of fundamentals. But as long as a stabilizing force of buyers is missing, this volatility can persist.

Figure 2: A Short Europe trade has built up with pressure on EGB spreads and EUR-USD



Sources: LSEG Datastream, Allianz Research

As contagion has switched sides, the European Government Bond (EGB) market could move from country-specific fragility to general fragmentation. The OAT sell-off has already spilled over to other EGBs. Unlike 15 years ago, when France fell victim to contagion from the periphery, it is now the other way round. Spanish and Italian bond yields rose significantly, while German yields fell. Their 10-year spreads versus the Bund widened by around 20bps. This decoupling within the EGB space is accompanied by widening bank CDS spreads, especially in France. Meanwhile, Euro funding market is under elevated stress. French and Italian three-month bills are converging toward the ECB's Marginal Lending Facility rate, the effective ceiling for Eurozone money-market rates. A break above the MLF would signal a disruption in funding markets. The ingredients for a broader fragmentation of monetary conditions are thus in place, even if the current magnitude remains far from those of 2012 or 2020. However, monetary transmission is also a function of time: If these stretched conditions persist for an extended period, an intervention of the ECB will be more likely, especially if we see a persistent decoupling of yield movements between core and periphery that can feed fears of redenomination risk.

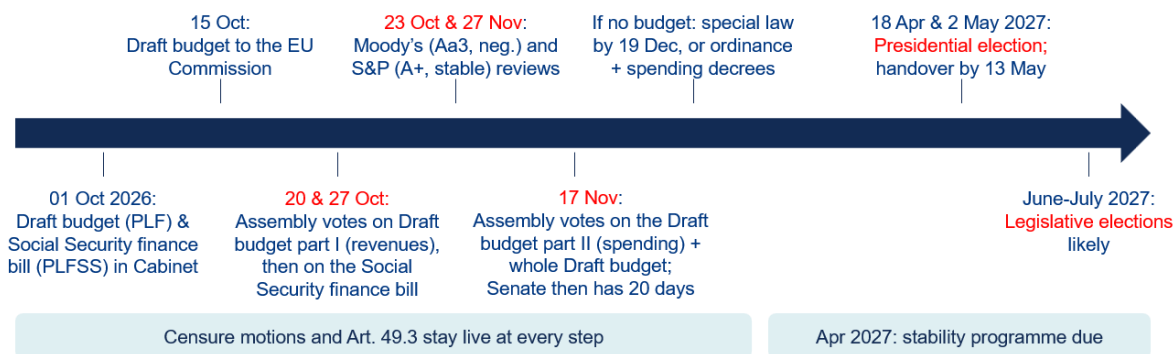
What's next?

The 2027 budget bill is facing stiff opposition at the National Assembly, putting the planned deficit reduction in jeopardy. Presented to the cabinet on 1 October, the draft budget (PLF) and the social security finance bill (PLFSS) for 2027 target a public deficit of -5.0% of GDP, down from -5.4% in 2026. The budget is essentially about preventing the deficit from getting worse rather than a fiscal adjustment. The government has announced EUR43bn of new fiscal-measures (1.4% of GDP), split between EUR25bn (58%) in spending restraint (including slowing spending compared to expected trends such as healthcare spending, central government cuts, social spending restraint, local authorities cuts) and EUR18bn (42%) in new revenues.

First, opposition parties are already pushing back against most of the big revenue raisers measures, including the

cut to the tax allowance on pensioners' income (EUR1.4bn), the taxation of sick leave (0.5bn) and cutbacks on funding to local governments (EUR2.5bn). Second, the persistence of elevated energy prices and tighter financial conditions could pressure GDP growth next year, denting expected government receipts. The government expects GDP growth at +1% in 2027, while we expect +0.9% but with increasing downside risks. The next key milestones to watch will be 20th and 27 October when the National Assembly votes on the Draft budget part I (revenues) and the Social Security finance bill (Figure 3). The debt stabilizing fiscal deficit stands at -2.7% of GDP, half of today's level, which entails an improvement of the public deficit of EUR83bn from 2027 on top of around EUR15-20bn of additional savings to find each year just to prevent the deficit from rising (to contain rising social security and interest spending).

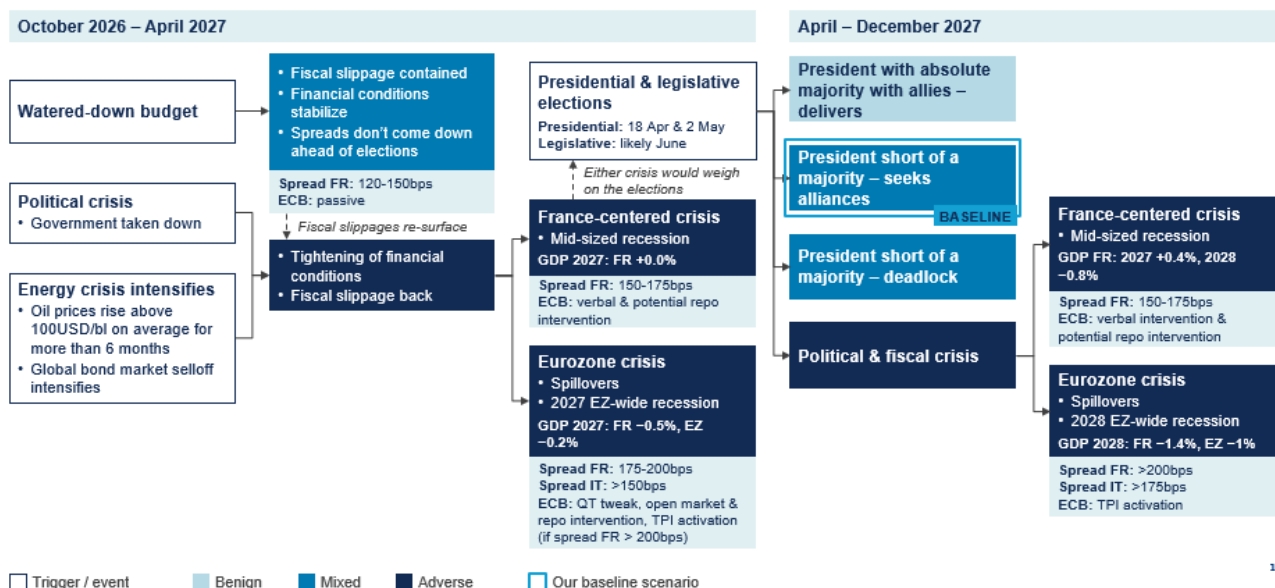
Figure 3: France's key political & budget milestones



Note: legislative elections are not yet scheduled – the National Assembly's term runs to 2029 unless the next president dissolves it. Sources: LOLF art. 45, Constitution art. 47, Assemblée nationale budget calendar of 15 Jul 2026, rating agencies, Allianz Research

We lay out different scenarios of what could happen between now and the elections (Figure 4). Starting in the short-term, we envisage three broad possibilities: i) a watered-down budget passed before year-end which plans a stabilization or a slight improvement of the deficit, ii) a political crisis with opposition parties taking down the government and iii) a re-intensification of the energy crisis.

Figure 4: Economic, political and market scenarios October 2026-April 2027



Source: Allianz Research

In our baseline scenario, we expect the French government will manage to pass a watered-down budget while the energy crisis eases, allowing the deficit to remain in check in 2027 (-5.3% of GDP). Opposition parties do not

have an incentive to soften their stance with the Presidential elections approaching on 18 April and 2 May 2027. But they also do not have an incentive to create a political crisis by taking down the government. Notably, the National Rally (Rassemblement National, RN) has expressed a preference for implementing a budget rather than relying on the "Special Law" mechanism that was used in early 2025 and early 2026. In this environment, we expect the government to manage to pass a mini budget, by year-end, of limited fiscal effort just to keep the deficit in check (at -5.3% of GDP), either through executive ordinances – a budgetary mechanism never previously utilized under the Fifth Republic – or by triggering Article 49.3.

In this baseline scenario, OAT spreads should enter a phase of stabilization but contagion risk remains. After the clean-up of derivative positions, we see 10-year OAT spreads trading in a pre-election range of 120-150bps. But the evolution of the French spread will not be isolated, with the potential to trigger a renewed contagion move. The French budget and election situation feeds the "short Europe trade", and this negative sentiment dominates country-specific fundamentals. We also do not believe that stabilizing the French situation alone will be enough to bring the EGB market back into a convergence trade. Now that dislocations have emerged, EGB spreads are likely to become the new playground for speculative (leveraged) players looking to exploit them. With this comes elevated rates and FX volatility and the risk of money market stress. We expect the ECB in this case to limit itself first to verbal intervention like a change in wording from "monitoring" to "ready to act" or "disorderly market dynamics". We see the tipping point at a 10-year OAT spread above 150bps.

In a more adverse scenario where the energy crisis does not ease and/or France slips into another political crisis, a crisis emerges, either France-centered, or with spillovers and contagion to other Eurozone countries. Under a scenario of renewed tensions in energy markets, the global markets selloff would intensify. Financial conditions would tighten more in France, weakening the economy and putting in jeopardy the deficit reduction. Alternatively, the government could be taken down in Parliament, triggering a grave political crisis and leading to tighter financial conditions. Even under our baseline scenario of a watered-down budget, fiscal slippages could re-emerge – for example if the economy is weaker than expected, or if the fiscal adjustment falls short of what is planned (e.g. if revenue-raising measures disappoint). Additionally, under a Special Law, the risk of wider deficit could increase if continued through the presidential elections in 2027, which could lead to France-centered crisis or a Eurozone crisis if tightening financial conditions in France spill over to other Eurozone countries. In a France-centered crisis we would expect the French economy to enter a mid-sized recession as tighter financial conditions would weigh on domestic demand (see next section), with GDP at +0.0% in 2027. In a Eurozone crisis, we would expect French GDP to contract -0.5% and the whole Eurozone economy -0.2%.

In this adverse scenario, we could see the 10-year OAT spread rising to 175-200bps. This would create widespread contagion in the EGB market and in the banking sector. In this case, it will clearly be up to the ECB not to let the situation escalate into a euro crisis 2.0. Unlike in the euro crisis, when the escalation was fueled by a lack of instruments while the political will was there, this time the deployment of the instruments (TPI, OMT) could fail due to a lack of political will and institutional inertia. It would be particularly precarious if markets began to price redenomination risk, i.e. the possibility of a country leaving the Eurozone. But we see this scenario as a tail risk. If the EGB and money markets move towards general fragmentation, we expect the ECB to set operational steps (QT tweak, temporary operations) at OAT spreads around 175bps, but only alongside broader contagion with BTP spreads around 150bps and Spain and Portugal widening together. For France, a QT tweak would represent a relief of EUR4.8bn on average per month, equivalent to around 20% of monthly issuances since June. But the problem is that "Europe short traders" can also do this math and adjust accordingly. At this point the ECB would not only operate in the secondary bond market but also need to stabilize funding markets as in French OAT and Italian BTP represent 50% of the EUR repo market collateral. The TPI activation would be late in the process and require OAT spread around 200bps with widespread and persistent contagion.

In 2027, the presidential (and likely legislative) elections could re-escalate economic and market pressures. We envisage four scenarios, which we detail more in Figure 5. In a nutshell, under our baseline assumptions, the

newly elected President will not secure an absolute majority when she or he provokes legislative elections. Nevertheless, the President will have the strongest group at the National Assembly and will benefit from strong popular support. In this environment, we would expect the President to negotiate with some opposition parties to pass a budget putting the deficit on a downward trajectory. Nevertheless, deficit reduction will be limited (-4.9% GDP deficit expected in 2028) amid strong aversion for rapid fiscal tightening in Parliament and public opinion. The 10-year spread will likely remain above 100bps. In an adverse scenario of political and fiscal crisis, for instance triggered by the enactment of tax cuts and/or spending hikes not credibly funded, a France-centered or Eurozone crisis scenario would re-emerge. In the latter case, the ECB would likely intervene with the TPI with French spreads breaking 200bps and Italian spreads above 175bps.

Figure 5: Economic, political and market scenarios after April 2027

Baseline										
*The color coding of the titles represents the potential market scenarios corresponding to each political outcome			President with absolute majority with allies – delivers (10%)		President short of a majority – seeks alliances (40%)		President short of a majority – deadlock (30%)		Political & fiscal crisis (20%)	
Politics			- Centrist or moderate left president delivers its pledges - RN is business friendly and delivers credible savings measures to reduce the deficit		Centrist or moderate left President gets implicit or explicit support from moderate parties to pass some fiscal consolidation measures; RN gets implicit or explicit support from some right-wing MPs to pass some fiscal consolidation measures		- President does not find enough support in Parliament to pass significant consolidation measures - Focus centers on cutbacks to central government spending and a few negotiated measures (eg targeted tax hikes) - Special Law or Ordinances likely		- President with or close to majority: government passes populist measures not credibly funded - President without majority: deadlock between government/Parliament worsens	
Fiscal policy and economy			Sizeable fiscal tightening (1% GDP); GDP growth hit initially on tight policy & protests. Loosening financial conditions offset partially hit to activity		Moderate fiscal tightening of 0.3-0.6% GDP in 2027-2028; GDP growth soft, political uncertainty retreats a bit		Government struggles to limit the rise of the deficit; Tighter financial conditions induce the government and Parliament to increase fiscal effort in 2028 (close to 1% GDP)		Government does not pass fiscal consolidation measures; financial conditions tighten sharply, forcing the government to embark on sharp fiscal austerity in 2028 (1.7% GDP)	
Economic indicators	Unit	2026	2027	2028	2027	2028	2027	2028	2027	2028
GDP growth	%	0.5	0.6	0.8	0.9	1.1	0.7	0.2	0.4	-0.8
Inflation	%	2.2	2.0	1.2	2.2	1.3	2.0	0.9	1.7	0.2
Fiscal deficit	% of GDP	-5.3	-4.7	-4.2	-5.2	-4.9	-5.6	-5.7	-6.4	-6.7

Source: Allianz Research

In the short term, a significant easing of global yields and elevated French spreads hinges on three factors:

1) a substantial easing of the energy crisis, which would reduce inflationary pressures, limiting or even ending further central bank hikes. 2) Strong and credible fiscal-consolidation measures passed by decree, though this remains unlikely before the presidential election. One option used previously is reducing healthcare spending, but the amount of savings is limited to EUR5-10bn (Table 2). 3) A cooling US economy could moderate the global bond sell off, though this too seems less likely before 2027.

Table 2: Measures the French government can implement by decrees to bypass parliamentary vote

Measure	Can government act without new parliamentary vote?
Cancel already authorized State spending	Yes
Freeze/cancel some budgetary appropriations	Yes
Adjust medicine reimbursement within regulatory powers	Yes
Adjust healthcare tariffs/payment parameters	Yes, within statutory framework
Tighten implementation of existing social schemes	Often yes
Change parameters of social contribution rebates	Sometimes yes
Abolish/reduce a statutory benefit	Generally, no
Permanently change tax rates	No
Fundamentally redesign social-contribution exemptions	Generally, requires legislation
Change the ONDAM target itself	Generally, Parliament/LFSS

Sources: French government, various, Allianz Research

In the longer-term, only a sizeable fiscal-consolidation program can ease French spreads sustainably. Ideally, a combination of the following would have the most benefits:

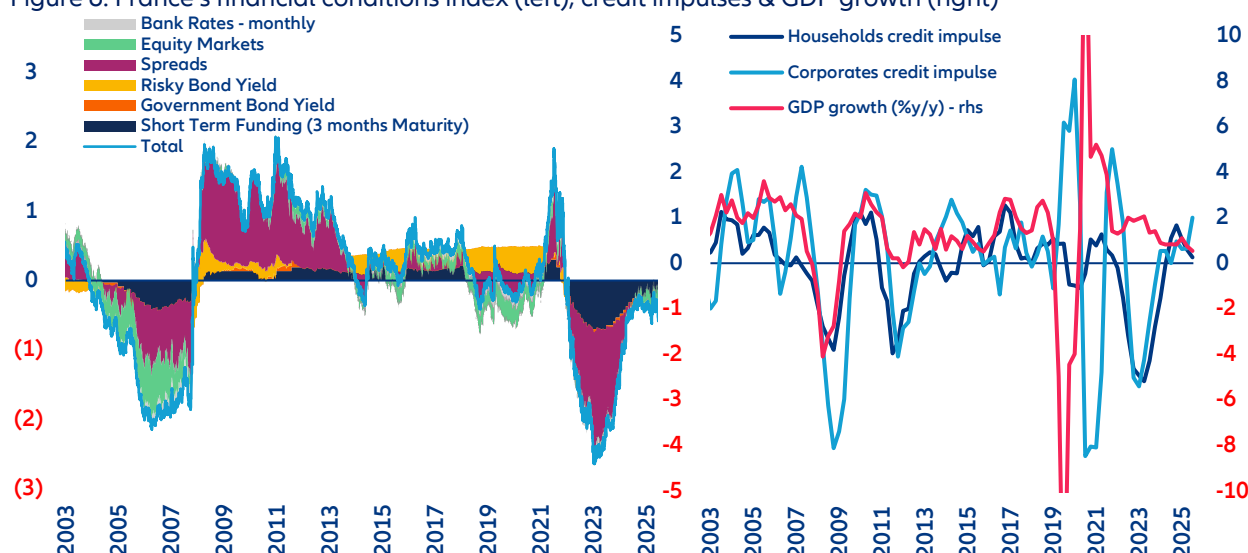
Credible fiscal adjustment (the least growth-hurting). On the revenue side, fiscal consolidation should rely on a more efficient tax mix to limit negative growth effects. An increase of VAT rates would bring large receipts without hurting potential growth. Freezing income-tax thresholds should be preferred to increase social contributions to limit the negative impact on labor demand and labor supply amid already high labor taxation in France. Some inefficient and costly tax rebates and loopholes could also be cut down. But most of the fiscal adjustment should be operated through expenditure cuts. An increase of the effective age of retirement – for instance through a rise in the number of years of contribution – would bring substantial savings and increase tax receipts. Substantial savings could also be enacted on public agencies and local governments’ administrative costs. In parallel, the government could launch a comprehensive spending review to improve efficiency of public expenditure, benchmarking what has been done in the past in countries such as Canada and Sweden.

Growth-enhancing reforms. The government could implement structural reforms which will likely support growth in the medium-term, reducing the need for further painful fiscal adjustment later on. A pension reform would not only bring higher receipts and increase savings; it would also stimulate labor supply and potential growth¹. Other growth-enhancing measures include a revamp of school education methods, scaling back excessive regulation, incentivizing higher-skilled education and hiring through a reform of the taxation system.

The trickle-down effect of tighter financial conditions

The ongoing bond market problem could increasingly become an economic problem through tighter financial and credit conditions, but the economy has buffers to sustain a short-term financial shock. Higher sovereign interest rates have started to filter through on to consumer, mortgage and corporate funding costs, and the pass-through will continue through 2027. This will tighten the credit and financial cycle, through higher borrowing costs on new lending, higher refinancing bills and tighter access to credit, and ultimately weaken consumer and investment spending. Our BIS-built Financial condition index (FCI) for France shows that overall financial conditions have tightened sharply recently, but from a relatively loose level (Figure 6, left). They are now close to their long-term historical averages. Besides, the credit impulse for households and corporations remains supportive to date (Figure 6, right). During the Eurozone crisis of 2011-13, the credit impulse turned sharply negative but GDP growth held up. While the latest ECB Bank Lending Survey (BLS) points to the credit impulses weakening in the next couple of quarters, this does not necessarily mean that GDP growth will weaken sharply. The French economy has buffers to withstand a negative finance shock, provided it does not last too long and does not get worse. In particular, households have high savings and corporates’ cash reserves have been rebuilt recently, though many firms struggle with elevated bankruptcies.

Figure 6: France’s financial conditions index (left); credit impulses & GDP growth (right)



Sources: LSEG Datastream, BIS, Allianz Research

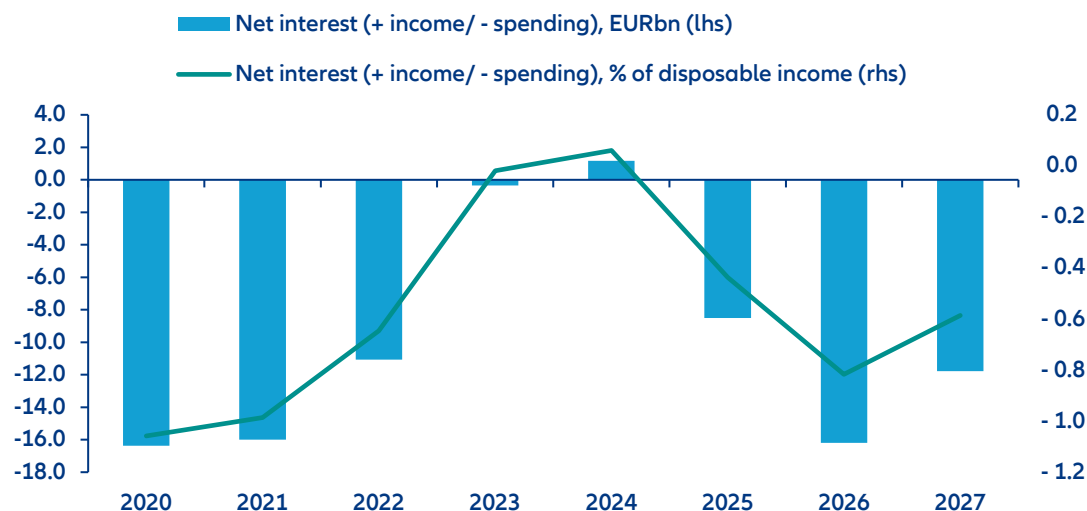
Note: last data point in the FCI is 5th October 2026.

A rise of +100bps of interest rates mean EUR25bn (0.8% of GDP) in additional gross interest expenses for the French households, non-financial corporates and the government. We find that a +100bps increase in interest

¹ The employment rate of senior people (aged 55+) has increased substantially following the 2023 pension reform, highlighting the growth-benefit of such reforms.

rates would almost double households' net interest income in 2026 to -EUR16.3bn from -EUR8.5bn in 2025, or the equivalent of 0.8% of disposable income (see Figure 5). Contrary to US or UK households, French households tend to lose when interest rates increase. We calculate that the interest earned on assets would reach EUR24.5bn while the interest paid would rise to EUR40.7bn.

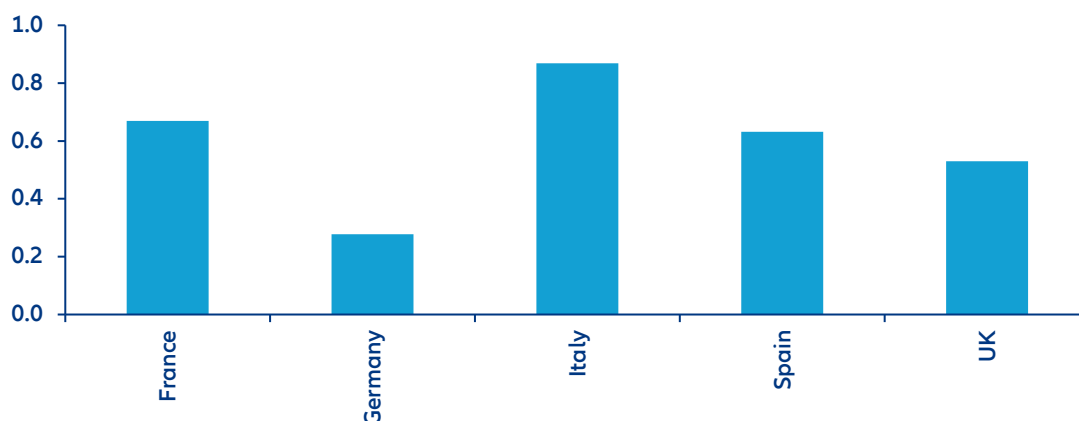
Figure 7: Impact of a +100bps shock on interest rates for French households



Sources: LSEG Datastream, Allianz Research

For French non-financial companies, around 50.6% of debt is due to reset or mature within the next 12 months, well below the level in Italy, Spain, the UK and the US, where 78 to 90% is due for refinancing. However, France starts from the largest corporate debt stock in Europe in this sample, at around EUR2.27trn. This means that even with a lower refinancing share, around EUR1.15trn of debt still needs to be repriced within a year, more than in Germany, Italy or Spain. In addition, the pressure is amplified by the starting level of borrowing costs. French corporates already face an effective interest rate of 6.1%, the highest among the European peers shown here. Under a +100bps interest-rate shock, the effective pass-through would amount to roughly +89bps, adding around EUR10bn to annual interest expenses. Relative to gross operating surplus, this represents an additional burden of about 2.1% of GOS, the highest impact across similar peers, and could shave roughly -0.7pp off gross margins (see Figure 6). For the French government, a +100bps increase in the weighted average interest rates would mean +0.3% of GDP in 2027 (EUR11.7bn) and +0.7% of GDP by 2035. Indeed, France has a rather long average maturity of its debt (>8.5 years) which protects it from very high volatility on its interest expenses.

Figure 8: Impact of a +100bps shock on French non-financial corporates margins, pp of gross value added



Sources: LSEG Datastream, Allianz Research

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